

FEDERAL MARITIME COMMISSION
Office of Administrative Law Judges

MCS INDUSTRIES, INC., *Complainant*

v.

COSCO SHIPPING LINES CO., LTD. AND MSC
MEDITERRANEAN SHIPPING COMPANY SA, *Respondents*.

DOCKET NO. 21-05

Served: May 4, 2022

ORDER OF: Erin M. WIRTH, *Chief Administrative Law Judge*.

ORDER GRANTING REQUEST FOR LETTER OF REQUEST UNDER HAGUE CONVENTION

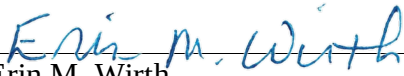
On April 4, 2022, complainant MCS Industries, Inc. (“MCS Industries”) and respondent MSC Mediterranean Shipping Company SA (“MSC Mediterranean Shipping”) filed a joint status report, addressing discovery of documents in Switzerland and attaching a proposed Letter of Request pursuant to the Hague Convention.

MCS Industries seeks authorization from the appropriate Swiss authority to obtain responses to interrogatories and to requests for production of documents. *See* MCS Industries first and second sets of interrogatories and first and third requests for production of relevant documents. MSC Mediterranean Shipping represents that the Swiss Penal Code provides that attorneys seeking discovery or to carry out other activities on behalf of a foreign state in Switzerland outside of authorized methods are subject to criminal charges.

It appears that a Letter of Request under the Hague Convention is the most appropriate and efficient process for obtaining the needed information. Under Commission regulations, the Commission may, upon petition, award the prevailing party reasonable attorney fees. That determination is premature at this point and MCS Industries’ request to order MSC Mediterranean Shipping to bear the cost of obtaining this discovery is therefore denied. *See* 46 C.F.R. § 502.254. To contain costs, the parties may agree to limit the discovery requested and may request a revision of the attached Letter of Request, if needed. Therefore, I authorize the parties to utilize the Hague Convention in seeking discovery in this case in order to comply with Swiss law.

The undersigned finds that the evidence MCS Industries seeks is reasonably necessary to adjudicate MCS Industries’ claims of a violation of the Shipping Act. *See* Order Granting Motion to Compel (8 Dec. 2021). I also find that the evidence MCS Industries seeks is reasonably necessary to adjudicate MSC Mediterranean Shipping’s defenses in this case. Accordingly, the request for a Letter of Request under the Hague Convention is granted. The Letter of Request, with minor modifications from the parties’ proposal, is attached to this order.

Counsel for MCS Industries may translate and file this Order and the Letter of Request, together with the necessary application for authorization and supporting documents, with the relevant Swiss authorities. The parties should file a joint status report on June 3, 2022, addressing the status of discovery and a proposed schedule for this case.


Erin M. Wirth
Chief Administrative Law Judge

Model for Letters of Request recommended for use in applying the Hague Convention of 18 March 1970 on the Taking of Evidence Abroad in Civil or Commercial Matters

Request for International Judicial Assistance pursuant to the Hague Convention of 18 March 1970 on the Taking of Evidence Abroad in Civil or Commercial Matters

N.B. Under the first paragraph of Article 4, the Letter of Request shall be in the language of the authority requested to execute it or be accompanied by a translation into that language. However, the provisions of the second and third paragraphs may permit use of English, French or another language.

In order to avoid confusion, please spell out the name of the month in each date.

Please fill out an original and one copy of this form (use additional space if required).

1. Sender

Hon. Erin M. Wirth, Chief Administrative Law Judge
U.S. Federal Maritime Commission
800 North Capitol Street, NW
Washington, D.C. 20573 U.S.A.
Telephone: +001 202-523-5750
Email: judges@fmc.gov

2. Central Authority of
the Requested State

Tribunal civil - Tribunal de première instance
Rue de l'Athénée 6-8
Case postale 3736
1211 Genève 3 Switzerland
Telephone: +41 22 327 66 30
Email: tpi.securise@justice.ge.ch

3. Person to whom the
executed request is
to be returned

Hon. Erin M. Wirth, Chief Administrative Law Judge
U.S. Federal Maritime Commission
800 North Capitol Street, NW
Washington, D.C. 20573 U.S.A.
Telephone: +001 202-523-5750
Email: judges@fmc.gov

4. Specification of the date by which the requesting authority requires receipt of the response to the Letter of Request

Date

15 July 2022

Reason for urgency*

To ensure compliance with the United States Shipping Act of 1984.

* Omit if not applicable.

IN CONFORMITY WITH ARTICLE 3 OF THE CONVENTION, THE UNDERSIGNED
APPLICANT HAS THE HONOUR TO SUBMIT THE FOLLOWING REQUEST:

5.	<i>a</i>	Requesting judicial authority (Article 3, <i>a</i>))	U.S. Federal Maritime Commission Office Administrative Law Judges 800 North Capitol Street, NW Washington, D.C. 20573 Telephone: +001 202-523-5725 Email: judges@fmc.gov
	<i>b</i>	To the competent authority of (Article 3, <i>a</i>))	Tribunal civil - Tribunal de première instance Rue de l'Athénée 6-8 Case postale 3736 1211 Genève 3 Switzerland Telephone: +41 22 327 66 30 Email: tpi.securise@justice.ge.ch
	<i>c</i>	Names of the case and any identifying number	MCS Industries, Inc., Complainant v. COSCO Shipping Lines Co., Ltd. and MSC Mediterranean Shipping Company SA, Respondents, Docket No. 21-05
6.	Names and addresses of the parties and their representatives (including representatives in the requested State*) (Article 3, <i>b</i>))		
	<i>a</i>	Plaintiff	MCS Industries, Inc. 2280 Newlins Mill Road Easton, Pennsylvania 18045 U.S.A.
		Representatives	Matthew J. Reynolds, Karl C. Huth, Sara G. Wilcox Huth Reynolds LLP 41 Cannon Court Huntington, NY 11743 U.S.A.
	<i>b</i>	Defendant	MSC Mediterranean Shipping Company SA 12-14 Chemin Rieu 1208 Genève Switzerland
		Representatives	John Longstreth, Michael Scanlon K&L Gates LLP 1601 K Street, NW Washington, D.C. 20006 U.S.A.
	<i>c</i>	Other parties	None--COSCO Shipping Lines Co., Ltd. is no longer a party due to a settlement.
		Representatives	n/a

* Omit if not applicable.

7.	<i>a</i>	Nature of the proceedings (divorce, paternity, breach of contract, product liability, etc.) (Article 3, c))	Claims for alleged violations of the United States Shipping Act of 1984, as amended, 46 U.S. Code Sections 40101 et seq.
	<i>b</i>	Summary of complaint	MSC allegedly violated the Shipping Act by engaging in unjust and unreasonable practices with respect to the cargo of Plaintiff and other shippers that were not in accordance with the parties' contract, discriminated against and disadvantaged Plaintiff, and constituted unreasonable refusal to deal or negotiate.
	<i>c</i>	Summary of defence and counterclaim*	MSC complied with its contractual obligations to carry Complainant's cargo. Complainant's claims are all based on the claim that MSC chose not to do so for some unlawful reason, but the discovery taken so far shows that Complainant did not ask MSC to carry the cargo it claims MSC refused to carry. Much of the discovery Complainant seeks is tangential to this core issue.
	<i>d</i>	Other necessary information or documents*	Please see attached Plaintiff's first and second sets of interrogatories and first and third requests for production of relevant documents and electronically stored information to Defendant, as well as Chief Judge Wirth's Order Granting Motion to Compel Defendant to comply with Plaintiff's discovery requests and answer its interrogatories.
8.	<i>a</i>	Evidence to be obtained or other judicial act to be performed (Article 3, d))	Sworn answers to Plaintiff's first and second sets of interrogatories, documents and electronically stored information responsive to Plaintiff's first and third requests for production and Chief Judge Wirth's Order.
	<i>b</i>	Purpose of the evidence or judicial act sought	For use in the case identified above, subject to the protections of the attached Confidentiality Stipulation and Protective Order.
9.		Identity and address of any person to be examined (Article 3, e))*	n/a
10.		Questions to be put to the persons to be examined or statement of the subject-matter about which they are to be examined (Article 3, f))*	n/a

* Omit if not applicable.

11. Documents or other property to be inspected (Article 3, *g*))*

Please see attached Plaintiff's first and third requests for production of relevant documents and electronically stored information to Defendant, as well as Chief Judge Wirth's Order Granting Motion to Compel Defendant to comply with Plaintiff's discovery requests.

12. Any requirement that the evidence be given on oath or affirmation and any special form to be used (Article 3, *h*))*

Plaintiff's first and second sets of interrogatories must be answered by Defendant on oath or affirmation. In the event that this evidence cannot be taken in the manner requested, it is to be taken in such manner as provided by local law for the formal taking of evidence.

13. Special methods or procedure to be followed (e.g. oral or in writing, verbatim, transcript or summary, cross-examination, etc.) (Articles 3, *i*) and 9))*

Plaintiff's first and second sets of interrogatories must be answered by Defendant in writing on oath or affirmation. In the event that this evidence cannot be taken in the manner requested, it is to be taken in such manner as provided by local law for the formal taking of evidence.

14. Request for notification of the time and place for the execution of the Request and identity and address of any person to be notified (Article 7))*

Please notify (1) Chief Judge Wirth, (2) Plaintiff's representatives (i.e., Matthew J. Reynolds, Karl C. Huth, and Sara G. Wilcox), and (3) Defendant's representatives (i.e., John Longstreth and Michael Scanlon) at the addresses provided above.

15. Request for attendance or participation of judicial personnel of the requesting authority at the execution of the Letter of Request (Article 8))*

n/a

* Omit if not applicable.

16. Specification of privilege or duty to refuse to give evidence under the law of the State of origin (Article 11, b))*

Please see the instructions for invocations of the attorney-client privilege and/or the attorney work product doctrine contained in the attached Plaintiff's first and second sets of interrogatories and first and third requests for production of relevant documents and electronically stored information to Defendant. Plaintiff is not aware of any other valid or relevant basis for refusing to give the evidence requested herein.

17. The fees and costs incurred which are reimbursable under the second paragraph of Article 14 or under Article 26 of the Convention will be borne by*

Plaintiff, MCS Industries, Inc.

DATE OF REQUEST

4 May 2022

SIGNATURE AND SEAL OF THE REQUESTING AUTHORITY

Erin M. Wirth



Erase all entries

Print

* Omit if not applicable.